



THREE-STATEMENT FORECASTING & VALUATION (FCFF) REPORT

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Company Overview

Asian Paints Limited is India's leading paint and décor company, the second-largest paint company in Asia, and the eighth-largest globally. Founded in 1942, the company operates with the purpose of "Bringing Joy to People's Lives" through innovative products and integrated home décor solutions. During FY 2025–26, Asian Paints served customers in more than 60 countries through 25 manufacturing facilities worldwide and employed over 16,000 people, including 251 scientists dedicated to research and innovation.

The company operates across four business segments: Decorative Paints, Home Décor, Industrial Coatings, and International Operations. Decorative Paints and Home Décor contributed 86.8% of total revenue during FY 2025–26, reinforcing the company's dominant position in the Indian paints market. **Asian Paints reported revenue from products and services of ₹35,584 crore and generated EBITDA of ₹7,420 crore during the year.**

The company continues to strengthen its competitive advantages through innovation, regional market expansion, backward integration, digital transformation, and service-led offerings. Its Beautiful Homes ecosystem, comprising 74 stores across India, supports its vision of becoming the country's leading integrated home décor player. Supported by a strong distribution network, manufacturing excellence, and a customer-centric approach, Asian Paints remains well-positioned to capitalize on India's long-term growth in housing, urbanization, premiumization, and home improvement spending.

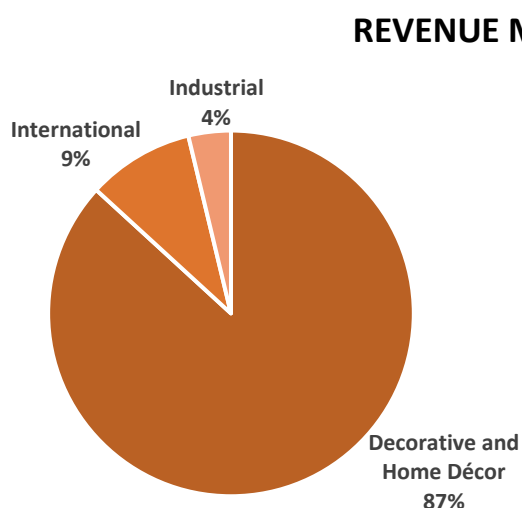
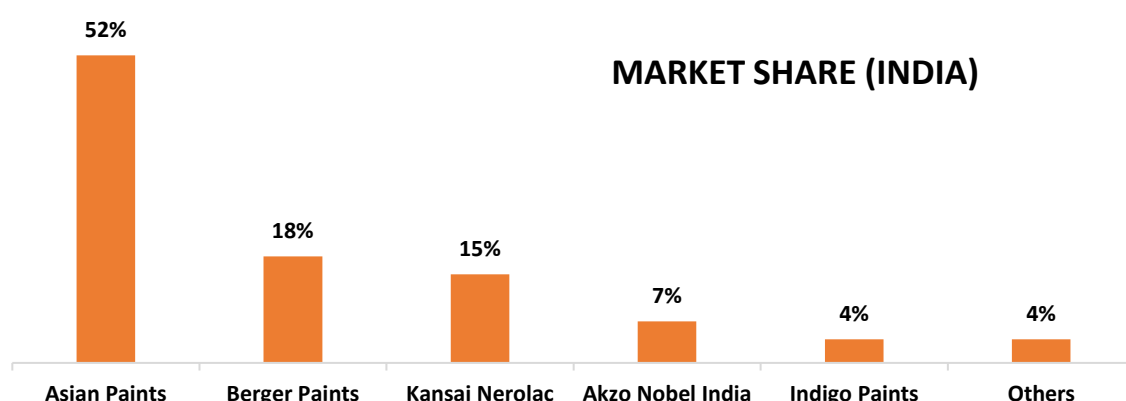
Industry Overview

The Indian paint and coatings industry is one of the fastest-growing segments within the country's chemicals sector, supported by rising urbanisation, increasing disposable incomes, government-led infrastructure development, and a growing housing market. The industry is broadly divided into decorative paints (approximately 75–80% of the market) and industrial coatings (20–25%), with decorative paints remaining the primary growth driver due to strong demand from residential repainting and new construction. The organised sector dominates the market, accounting for nearly 70–75% of total industry revenues, led by

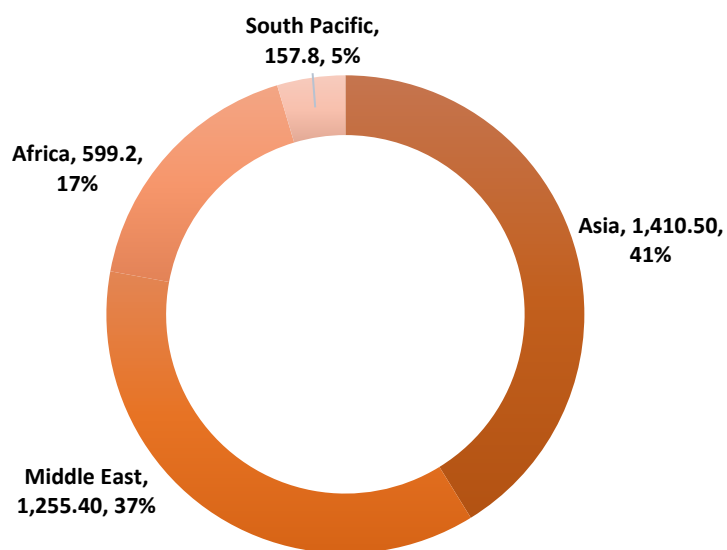
companies such as Asian Paints, Berger Paints, Kansai Nerolac, Akzo Nobel India, Indigo Paints and the recent entrant Birla Opus.

Historically, the Indian paint industry has delivered around 10–11% CAGR over the last decade, reflecting structural growth in housing, premiumisation and increasing paint consumption per capita. Over the last five years, growth has moderated to approximately 8–10% CAGR, impacted by the COVID-19 pandemic, volatile crude oil prices, inflationary pressures and intensified competition. Nevertheless, the long-term growth outlook remains favourable, supported by low per-capita paint consumption in India compared with developed markets, rapid urbanisation, government infrastructure spending, and increasing consumer preference for premium and eco-friendly coatings. Industry reports expect the market to continue expanding at around 10% CAGR through FY33, with decorative paints expected to outpace the overall industry at approximately 10.5–11% CAGR.

Despite favourable long-term fundamentals, the industry currently faces challenges from elevated raw material costs (many inputs are crude oil derivatives), pricing pressure arising from new entrants such as Birla Opus, and relatively subdued demand in the premium housing segment. These factors have compressed margins across the sector in recent years. However, companies with strong brands, extensive dealer networks, manufacturing scale, and backward integration—such as Asian Paints—remain well positioned to sustain market leadership and benefit from the industry's long-term growth potential.



INTERNATIONAL REVENUE BY REGION (₹ Crore)



**Data as per 2025-26 Integrated report issued by Asian Paints Ltd.*

